India it is necessary to strengthen the sector on which the masses depend for their income and livelihood. More than 65 per cent of the Indian population depends on agriculture and allied activities while only 18.5 per cent of the gross domestic product (GDP) comes from the sector.[13] It means that above 65 per cent of Indian population shares just 18.5 per cent of the gross income generated by the economy. The rest of the population that does not depend on agriculture (i.e. below 35 per cent) share 81.5 per cent gross income generated by the economy. The gap of income shows the lower purchasing power of the people involved in agricultural activities—which is more than two-third of the total population. How market can succeed in such a situation and what to ask of the market economy. As the economy was more in favour of market economy, the situation of market failure needed to be arrested The income of the population dependent on the agriculture sector needed strengthening. Though the effects of the policy shift are not clearly visible yet, we may glance at the major policies which are intended towards the strengthening of the agriculture sector:

(i) **New Agriculture Policy, 2000:** The policy mainly intends to convert agriculture into the category of industry so that the population dependent on it could earn income and profit out of agricultural activities with the same pace and mode as the industry has enabled the population dependent on the industrial activities.

(ii) **National Agricultural Insurance Scheme, 1999–00:** The new insurance scheme launched for agriculture intends to provide insurance coverage to all agricultural activities right from seeds, sowing, harvesting to marketing risks—a necessary support to which the industry had access but agriculture had no reach.

(iii) **Exim Policy, 2002–07:** The Export Import Policy, 2002–07 for the first time accepted at the policy level the long-standing opinion of the experts—that a one per cent increase of the agricultural products in India’s exports supplies additional Rs. 8,500 crores to the agricultural sector. Many policy initiatives were taken to increase the share of agriculture in the total export of the economy.

(iv) **Second Green Revolution:** A major programme to boost the agricultural production with the sustainable approach was launched in 2004 with an initial corpus of Rs. 50,000 crore.